MARGIN THEORY

THE BUSINESS MATURITY MODEL

Stage 9

Reinvention

Your core product made you. Now it's flat, and squeezing it harder does damage. The next chapter is a bet you place before this one runs out.

250-500 PEOPLE · $150M+ REVENUE

You are here.

Every business climbs the same ten stages, set by how many people you've got and how much you make. You're at **Reinvention**. Here's what that means, across your whole business.

0	Foundation	Just you · Pre-revenue
1	Validation	Just you · Under $100K
2	Traction	You + vendors · $100K-$500K
3	Structure	2-4 people · $500K-$1M
4	Focus	5-9 people · $1M-$3M
5	Expansion	10-19 people · $3M-$10M
6	Efficiency	20-49 people · $10M-$30M
7	Systems	50-99 people · $30M-$75M
8	Division	100-249 people · $75M-$150M
9	**Reinvention** YOU ARE HERE	250-500 people · $150M+

Stage 9: Reinvention

WHO

250 to 500 people. You're chairman now. Five layers run below you, and the company gets built whether you're in the room or not.

THE CONSTRAINT

The product that built this can't grow much further. Push on it and you damage it.

GRADUATE BY

Placing the big bet. Buy or build the next rising star, and get the books clean enough to fund it with outside money.

THE BIG PICTURE

Every earlier stage was about climbing one mountain. You found the customer, niched down, built the second product, then installed the systems and split into divisions. You did all of it, and the core business is a machine now. It throws off cash whether you show up or not. The trouble is that the machine has stopped growing. The market it owns is the market it owns, and there isn't much more of it to take.

The reflex at this stage is to push harder on the thing that worked. Squeeze another point of margin, run another price test, ship another feature. At every stage before, working the core was the answer. Here it turns on you. The core is a cash cow, and changing a cash cow damages it. The growth has to come from somewhere new, and finding it is a different job than running what you've got.

The companies that last place a bet on the next rising star while the current one still pays for it, and they get the books clean enough that outside money will back the bet. Build what's next before defending what you built becomes the whole game. Here's what that looks like across every part of your business.

The stage comes down to one bet: where the next chapter of growth comes from, and whether your books are clean enough to fund it. The next pages run that bet across all three engines of your business.

Across your business.

Every business runs on three engines. Eight parts sit inside them. At Reinvention, one part is breaking each engine right now. Those three are marked Start here. Get them right and the rest follows.

SALES & MARKETING

Marketing

You're big enough to be a target now. Attribution gets murky and regulators pay attention.

Sales

You've got too many products and too many kinds of leads for one type of seller to handle.

OPERATIONS

Product & service

START HERE

The core product is a cash cow that's run out of room. Change it to chase growth and you damage the thing that pays for everything, but standing still means slow decline. *buy or build the next thing · Good to Great the rules of innovation · The Essential Drucker*

Customer service

A new offer brings new support load, and the old team buckles under it.

Technology

The old stack can't carry this, and every division wants its own thing.

FINANCE & ADMIN

Finance

START HERE

Your books aren't clean enough for outside money. To fund the next bet with debt or a partner, someone is going to open the hood, and what's in there now won't pass. *economic value and the three sources of capital · Simple Numbers*

Hiring

START HERE

The talent who can launch a new business answers to you and no one else. You need a rainmaker, and a job posting won't land one. *the scorecard · Who selling the hire · Who*

Your people

Turnover's climbing and you can't say who you'll need in two years.

Start here.

The one part breaking each engine. Get these right and the rest of the stage gets easier. Each names the tell, what to do, and the book behind it.

Product & service OPERATIONS

Every plan to grow runs through the same product that's already flat.

THE CONSTRAINT

The core product is a cash cow that's run out of room. Change it to chase growth and you damage the thing that pays for everything, but standing still means slow decline.

DO THIS

Stop trying to wring growth out of the cash cow. Go find the next rising star instead, either buy it or build it. Aim the new thing at one job, start it small enough to fix, and point it at a customer who needs it today. Make the bet inside what you can be the best at. The biggest bets that pay off rest on what you already understand.

> SOURCE **buy or build the next thing** · ***Good to Great***, Jim Collins

> SOURCE **the rules of innovation** · ***The Essential Drucker***, Peter Drucker

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Finance FINANCE & ADMIN

You want to fund the next bet, and your books won't survive a buyer's questions.

THE CONSTRAINT

Your books aren't clean enough for outside money. To fund the next bet with debt or a partner, someone is going to open the hood, and what's in there now won't pass.

BENCHMARK

A buyer rarely pays below your last three years of pretax profit plus the equity sitting in the business. Strip cash out and load it with debt and that number drops, so get debt-free and keep the capital in.

DO THIS

Run the company sale-ready every day, whether a sale is on the table or far off. Get a quality-of-earnings done and bring in a third party to audit the books. Clean house and revisit your legal structure. Your cash is cheap and your stock is expensive, so fund the bet with debt as a timed bridge before you give up ownership. The number a buyer pays can't beat what your after-tax cash flow will support, so the cleaner and more profitable the books, the more the next bet is worth and the cheaper the money to fund it.

> SOURCE **economic value and the three sources of capital** · ***Simple Numbers***, Greg Crabtree

Hiring FINANCE & ADMIN

The person who could run the next bet won't take a call from anyone but you.

THE CONSTRAINT

The talent who can launch a new business answers to you and no one else. You need a rainmaker, and a job posting won't land one.

DO THIS

Become the head recruiter yourself. Before you chase anyone, write the scorecard: what the new role has to produce, the three to eight results that decide whether it worked, ranked. A sharp scorecard screens the pool for you. Then court the person like the hire they are, over months. Sell the fit, sell the family on the move, sell the freedom to run it, and stay in their ear all the way to the first day. One right rainmaker can be worth ten ordinary hires.

SOURCE **the scorecard** · *Who*, Geoff Smart

SOURCE **selling the hire** · *Who*, Geoff Smart

The rest of your business.

Not the three to start with, but they're in play at this stage. Here's the move on each, for when you're ready.

SALES & MARKETING

Marketing

You're big enough to be a target now. Attribution gets murky and regulators pay attention.

DO THIS

Spend on the brand. At this size the payoff on brand spend runs more than a year out, so judge it on blended return across the whole business over time. Give far more than you ask for. And stand up a documented process to keep your claims clean, because you're the one they come after now.

Sales

You've got too many products and too many kinds of leads for one type of seller to handle.

DO THIS

Split your sellers up by what they sell, the kind of lead, or the territory. Send each lead to the closer who's best at that one thing. A new product doesn't sell the same way the old one did, and one team can't be great at both.

OPERATIONS

Customer service

A new offer brings new support load, and the old team buckles under it.

DO THIS

Route support to reps who specialize, tagged and segmented in the CRM. Build a career ladder so a good rep can climb instead of leave. The cost to keep a customer for life is worth knowing and worth protecting.

Technology

The old stack can't carry this, and every division wants its own thing.

DO THIS

Let each division run the stack it needs, with one person who owns it. Look hard at a single system to tie the company together. Put service-level promises on your IT team and keep developers in-house. The patchwork that got you here won't hold a company this size.

FINANCE & ADMIN

Your people

Turnover's climbing and you can't say who you'll need in two years.

DO THIS

Plan the org a year or two out. Map who's solid, who's at risk, and who's leaving, and get clear on who owns what so nothing falls between two people. At this size the people plan is its own full-time job.

Where you stand.

ON TRACK

- You've named the next rising star and decided buy or build
- Your books would survive a buyer opening the hood
- You're funding the bet without giving away ownership
- You personally own recruiting the rainmaker who'll run the next bet
- The core runs without you in any room

STILL NEED WORK

- Your only growth plan is to push harder on the core
- Outside money would walk after one look at the books
- You'd hand over stock to fund the next move
- The talent who could run the bet won't return a call
- The company still can't make a big decision without you in the room

Graduating to Stage 10. You'll know you're ready when the bet is placed and paying: a second engine you bought or built that's pulling its own weight, books clean enough to fund it without selling the company, and a rainmaker running it who you recruited yourself. You run a portfolio of businesses now, and the job becomes allocating money across it.

Where are you taking this next?

Get the 15 Numbers guide and read it against your own books. If they wouldn't survive a buyer's questions yet, clean them up before you place any bet.

BUILT ON

This stage draws on **Good to Great** (Jim Collins), **The Essential Drucker** (Peter Drucker), **Simple Numbers** (Greg Crabtree), and **Who** (Geoff Smart). The moves are ours. The thinking stands on theirs.